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SWAPNIL JAIN
CO-FOUNDER & CTO,
ATHER ENERGY

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“There will be quality issues. If you are not able to correct the process, it will be difficult for you to grow beyond a point”

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unit economics, and potential for margin expansion as scale increases.” This approach, it says, is aligned with the playbooks of global EV leaders such as Tesla and BYD, which have demonstrated the long-term benefits of vertical integration in both profitability and customer experience. Ola’s proprietary 4680 Bharat Cell, produced at the company’s gigafactory in Tamil Nadu, is based on a format popularised by Elon Musk’s Tesla.

Ather, however, has no plan to manufacture battery cells, says Mehta. “The global industry is changing too fast. A change hits every 12-18 months. Investing thousands of crores in cell manufacturing can lock you down in a technology. It’s difficult to sweat your assets fast enough with just India demand. You need a multitude of customers across cars and two-wheelers to make that math work,” he says.

Swapnil Jain, the Ather CTO, says the company would rather work with cell manufacturers who make in India. “Even with all two-wheelers in the country going electric, one will still need only 60 GWh capacity. It is hard to make money on anything below 60 GWh. The profit margins are slim. If you want to make money in the cell business, you have to look beyond two-wheelers to four-wheelers and energy storage,” says Jain.

That’s what Ola’s Aggarwal plans to do next—using Bharat Cells to disrupt the inverter market. Aggarwal is hoping that customers will ditch their lead-acid power backup for lithium-ion batteries. His battery energy storage system (BESS), called Ola Shakti, is priced between ₹29,999 and ₹1,59,999. It will go on sale by mid-January. Aggarwal expects the BESS business to clock ₹1,000 crore revenues in FY27. “It will also complement the rooftop solar market because most of those installations will have some home battery storage,” the Ola Electric founder said in the post-earnings conference call.

Mehta says Ather doesn’t have to solve the cell manufacturing problem. “Treat capital as finite. Treat it with a lot of respect. Put cash in highest return activities. We know our strengths,” he says. “We can vertically integrate and make extra margins, but it is not a good return on our time and effort. We put capital in more products and R&D.”

Agrees CTO Jain. “We have limited vertical integration. If it can be done by a supplier and there is no IP (intellectual property), we would rather not do it ourselves.”

More than a decade after it was set up, Ather, which operates out of a leased facility in Tamil Nadu’s Hosur, has started work on a 100-acre plant in Maharashtra’s Chhatrapati Sambhaji Nagar (Aurangabad). The plant will take Ather’s annual capacity from 420,000 to 1.4 million units. Ola Electric has an installed capacity of 2 million units. Both are yet to reach healthy capacity utilisation levels.

Before its blockbuster IPO in 2024, Ola Electric had raised over \$1 billion while Ather Energy had scooped up \$502 million before its public market debut in May 2025. However, Ola’s market capitalisation shrunk from \$7 billion at listing to \$1.6 billion by the end of 2025. On the other hand, Ather Energy’s m-cap has more than doubled to \$3 billion since listing. While both new-age companies remain loss-making, Ather overtook Ola in revenue, total income and sales for the first time in the September quarter.

While Aggarwal may have spread himself too thin by announcing ambitions to enter chipmaking, artificial intelligence, Cloud, cell manufacturing and battery energy storage systems, Mehta, a Marwari from Gujarat, has taken a more focused and frugal approach. Both seem determined to make their mark in the new age of e-mobility. **BT**

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